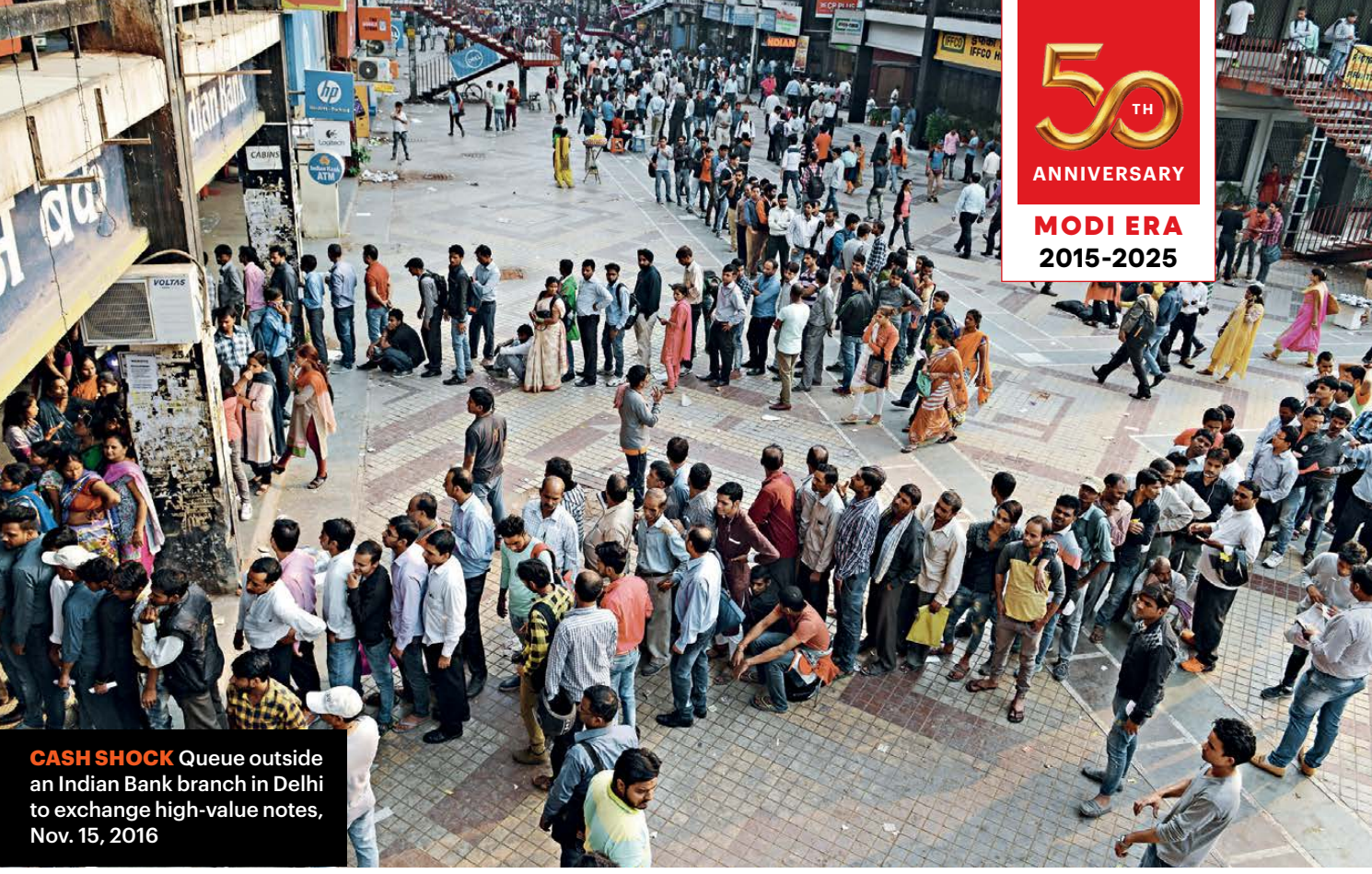


50TH ANNIVERSARY
MODI ERA
2015-2025

CASH SHOCK Queue outside an Indian Bank branch in Delhi to exchange high-value notes, Nov. 15, 2016

PARVEEN NEGI

DEMONETISATION

THE CURRENCY EMERGENCY

The sudden invalidation of high-value notes to end black money sent people into a tizzy. Was the pain worth it? The debate continues



₹15.41 LAKH CRORE worth of ₹1,000 and ₹500 notes demonetised

INDIA TODAY, *Jan. 9, 2017*

You couldn't fault the idea for mere ambition. On November 8, 2016, a day before America took a turn away from liberal politics and gave Donald Trump his first term, Narendra Modi announced the demonetisation of Rs 500 and Rs 1,000 notes in the country. The hope was to end all black money in one fell swoop, eliminate the shadow economy and fake currency, and turn off the tap for terror financing. What the move ended up in instead was mass inconvenience, as people stood outside banks and ATMs in long, serpentine queues, waiting to exchange cash even as the economy ran out of it, and the people themselves feared running out of time. Small businesses, daily wage workers and agriculturists did not know what hit them, nor did the larger economy. The shock registered in GDP growth too, as it decelerated from 8.3 per cent to 6.1 per cent in the last quarter of the 2017 financial year. As for the end of black money, the RBI reported a return of Rs 15.3 lakh crore of the Rs 15.41 lakh crore in circulation into the banking system. Was it nothing more than an exercise in vanity turned exercise in vain, then? It did have a redeeming factor: a shift towards digital payments. ■